Adobe Inc. (ADBE)

Fundamental analysis & five-year outlook | October 16, 2026 | Price $244.50 (Robinhood last trade, ~2:03 pm ET) | Market cap $95.2B

Prepared for the portfolio manager | Retirement portfolio position: 35 shares, ~$8.6K, ~0.50% of portfolio | No recent stock split; per-share figures are as reported. Fiscal year ends late November.

The one-paragraph version. Adobe is a 35%-GAAP-margin, 40%-FCF-margin subscription franchise still growing roughly 10% organically, and the market is pricing it as if that is about to end: the stock is 33% below its October 2025 high and trades at **13.5x FY26 GAAP earnings** (10.0x on the company's non-GAAP figure). Three adjustments change how good that looks. First, the cheap-looking 10x is a **~13.1x stock once stock comp (8% of revenue) is counted as the cost it is**. Second, about 2 points of Q3's 12% constant-currency growth is the Semrush acquisition, so organic growth is ~10% and the Q4 guide implies ~8%. Third, roughly 3 points of the 13.6% EPS CAGR since FY21 is simply a shrinking share count, and the FY26 buyback has been executed at an average of ~$265, above today's price. The crux is whether generative AI expands Adobe's creative and document franchise or commoditizes it, and Adobe stopped reporting the metric (Digital Media ARR) that would answer it. My base case (7.5% revenue CAGR, 35.5% GAAP margin, 13x exit, 3% annual share shrink) returns **+11.0% a year; weighted 30/50/20 across bear, base and bull it is 9.9%, essentially the 10% hurdle.** At $244.50 you are being paid fairly, not generously, for an unresolved disruption question and a CEO/CFO transition. My view: a hold at the 0.50% starter size, not an exit and not an add.

Snapshot	Read
View	**HOLD starter; conviction Medium-Low.** Do not add on the current evidence; the add case is price (~$222 gives a 12% expected return on my weights) or a resolved AI-ARR picture.
Valuation	13.5x GAAP, 13.1x "clean", 10.0x non-GAAP; FY26E FCF yield 11.2% (9.0% after stock comp).
Return vs 10% hurdle	Bear -5.0% / Base +11.0% / Bull +21.4% a year; probability-weighted 9.9% (expected price ~$392 in five years).
What is priced in	A 10% return needs ~6.6% revenue CAGR at a 13x exit, or a 12.4x exit at 7.5% growth. Roughly 6.5–7.5% growth and an unchanged ~13x multiple.
Next binary event	**Dec 9, 2026**: Q4 FY26 results and the first FY27 guide (CEO handoff to Anil Chakravarthy is effective Dec 1).

1. History, business model, and revenue mix

The short history

Shantanu Narayen has run Adobe for eighteen years and led its conversion from boxed software to the Creative Cloud subscription model, the move that created today's recurring-revenue base. The last strategic chapter was messy. The $20B Figma acquisition, announced in 2022, was abandoned in December 2023 under regulatory pressure, and Adobe paid a $1.0B termination fee that landed in FY24 results. Adobe then pivoted to generative AI (Firefly) and to tuck-in M&A: Semrush (closed April 28, 2026, $1.87B in cash) and Topaz Labs (agreed, expected to close in Q4).

The leadership picture changed substantially in six months. Narayen announced in March 2026 that he would step down once a successor was named; CFO Dan Durn left in June (SVP Steve Day is interim); and Anil Chakravarthy, who runs the Customer Experience unit, becomes CEO on December 1 with Narayen as executive chair. The press has noted that his unit is smaller than the flagship creative business, which is the point to remember when the AI-disruption debate turns to Creative Cloud.

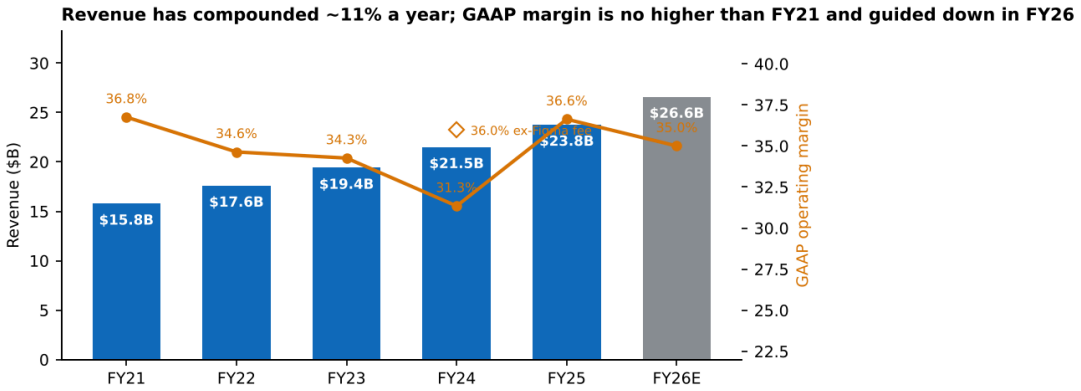
Business model

Adobe sells subscriptions to creative professionals, knowledge workers and marketers, and about 97% of revenue is subscription. It ends Q3 with **$27.5B of total ARR (+11.2%)** and $22.2B of remaining performance obligations, about two-thirds of which is expected to convert within twelve months. The economics are exceptional because the product is software with almost no physical footprint: capex was 0.8% of revenue in FY25 and the company converts about 40 cents of each revenue dollar into free cash flow. There is no dividend. Cash is returned through buybacks, which is the central capital-allocation fact in this report.

Segments and revenue mix

Since FY26 Adobe reports two customer groups instead of the Digital Media and Digital Experience segments. FY26E revenue below is from the guidance midpoints in the Q3 release; the residual line is derived.

Customer group	FY26E revenue	% of total	What is in it (my characterization)	Q3 FY26 growth
Business Professionals & Consumers (subscription)	~$7.48B	28%	PDF / Acrobat and Acrobat AI Assistant, Express, individual and consumer plans	**+16%**
Creative & Marketing Professionals (subscription)	~$18.26B	69%	Creative Cloud for professionals, Firefly, Experience Cloud / GenStudio; Semrush likely sits here (not confirmed)	**+13%**
Non-subscription (derived residual)	~$0.86B	3%	Product and services revenue	n/a
Total	**$26.60B**	100%	FY26E +11.9% reported; ~10.7% ex-Semrush (estimate)	**+13%**



Sources: Adobe 10-K filings FY21–FY25 (SEC XBRL); FY26E = Q3 FY26 guidance midpoints (revenue $26.601B, GAAP operating margin 35.0%), shown in grey. The diamond adds back the $1.0B Figma termination fee to FY24: my estimate, with the fee itself confirmed only through a secondary source (see Known uncertainties).

2. Moat and competitive landscape

Where the moat is real

- **Workflow lock-in and file formats.** PSD, AI, InDesign and PDF are working standards with decades of assets and trained users behind them. The numbers say the lock-in is holding: 97% subscription revenue, $22.2B of RPO, and 10% organic growth in a quarter when the stock was being priced for disruption.
- **Distribution at a scale rivals have to buy.** Over 1 billion monthly active users across the business, 100M+ freemium creative users (+70% y/y), and Acrobat plus Express above 900M MAU (+25%). Adobe is now pushing Acrobat into ChatGPT, Chrome, Edge and WhatsApp, which means it is using the AI platforms' distribution rather than being locked out of it.

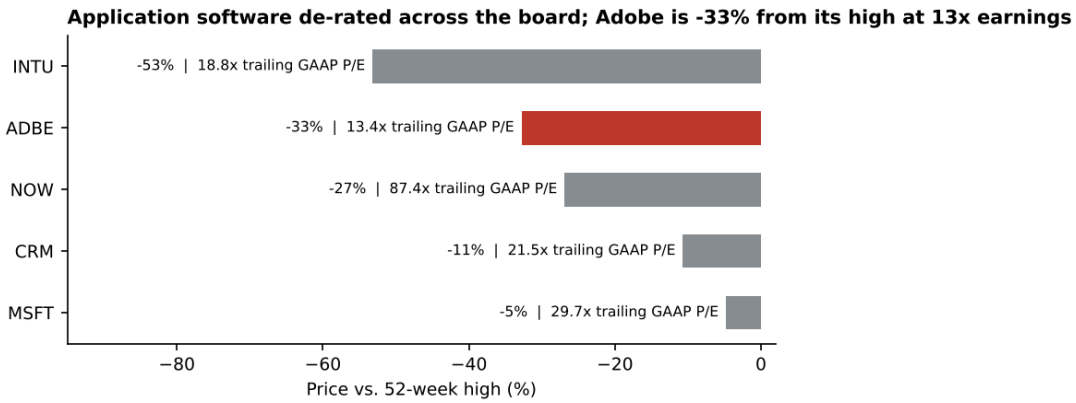
- **Enterprise CX is a separate, sticky franchise.** At Q1 three CX product lines each exceeded $1B of ARR and grew above 20% combined; in Q3 GenStudio, Experience Manager and Experience Platform each grew above 20%. This is the part of Adobe where AI agents plausibly increase the customer's spend rather than replace the seat.
- **The P&L is the evidence.** A 36–37% GAAP operating margin (ex-fee), ~40% FCF margin and capex under 1% of revenue are what pricing power looks like in the financials.

Where the moat is thinner than the bulls admit

- **Generative AI attacks the skill barrier, which was half the moat.** A large part of why professionals paid for Photoshop was the learning curve and the sophistication of the tool. A prompt box inside a chat app, such as Anthropic's Claude Design launched in April 2026, or a Canva or Figma workflow, lowers that barrier for the prosumer and SMB tier. Adobe is simultaneously a partner of OpenAI, Google and Anthropic and a company those partners can disrupt.
- **The AI revenue is small.** AI-first ending ARR exceeded **$650M, about 2.4% of $27.5B**. Growing 150% is real, but my arithmetic puts it at roughly $0.4B of the ~$2.8B of ARR added over the year, about 14% of net new ARR. It has to carry more of the load if seat growth fades.
- **There is direct cannibalization in the numbers.** Stock licensing, about $450M a year (1.7% of revenue), is described as declining, which is what a generative model does to a stock-image library.
- **Visibility has fallen.** The disclosure change in FY26 (section 6) makes the creative-professional pool, the one most exposed to AI, harder to isolate.
- **Sentiment is already poor.** Of 41 analysts, 25 rate it Hold and 5 Sell; the mean target is $269.50 (+10%), with a range of $195 to $373.

Peer comparison (October 16, 2026)

Company	Market cap	Trailing GAAP P/E	vs 52-wk high	Street (B/H/S)	Position vs ADBE
ADBE	$95.3B	13.4x	-33%	11 / 25 / 5	Lowest multiple in the group; second-largest drawdown after INTU
CRM	$197.8B	21.5x	-11%	42 / 17 / 1	Held at ~1.4%; Street is much more constructive and the stock has de-rated far less
INTU	$86.2B	18.8x	-53%	21 / 13 / 2	Similar market cap; derated more than ADBE yet still carries a higher multiple
NOW	$145.8B	87.4x	-27%	n/a	Growth-priced; trailing GAAP P/E is inflated by low GAAP earnings
MSFT	$3,913B	29.7x	-5%	n/a	Held at ~3.1%; owns both the AI platform and the productivity suite; barely de-rated

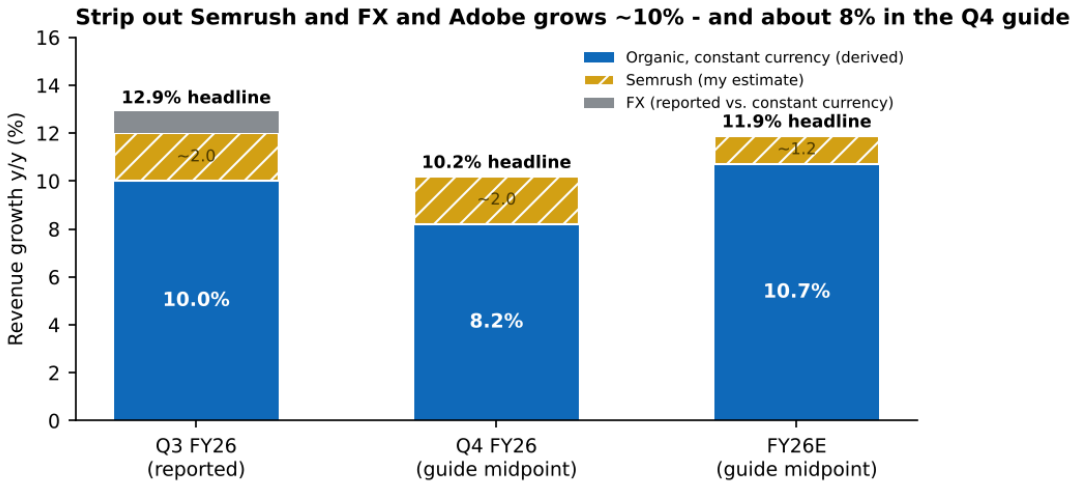


Source: Robinhood quotes and fundamentals, October 16, 2026 (trailing GAAP P/E as provided; fiscal years differ); analyst ratings from Robinhood, October 3, 2026 (ADBE, CRM, INTU only). Growth is not compared because I did not pull same-basis growth for the peers.

3. Growth drivers

Driver 1 — The core subscription franchise (proven, compounding)

Creative Cloud, Acrobat and Express are still the engine. Q3 revenue grew 13% reported and 12% in constant currency; Business Professionals & Consumers grew 16% and Creative & Marketing Professionals 13%. **The headline overstates the organic rate.** Semrush added about 2 points, so organic constant-currency growth was ~10%, and the Q4 guide ($6.80–6.85B) implies ~10.2% reported and only ~8% organic. The deceleration inside the guide is the first thing to check on December 9.



Sources: Adobe Q3 FY26 release and 10-Q; Q4 and FY26 guidance midpoints; Semrush quarterly revenue (~$120–125M) is my estimate from Semrush's last public quarter ($117.7M in Q4 2025). Adobe says the Semrush contribution was not material and does not disclose it, so organic growth is derived, not reported. FX in Q4 and FY is shown as zero (the call summary cites only a "slight headwind").

Driver 2 — Enterprise CX and GenStudio (proven, narrower)

Three CX lines above $1B of ARR each and a >20% growth rate for GenStudio, Experience Manager and Experience Platform make this the most defensible growth pool. It is also where the new CEO has spent his career, which is both a strength and the reason to watch whether creative gets the same attention.

Driver 3 — AI-first products (optionality, given partial credit)

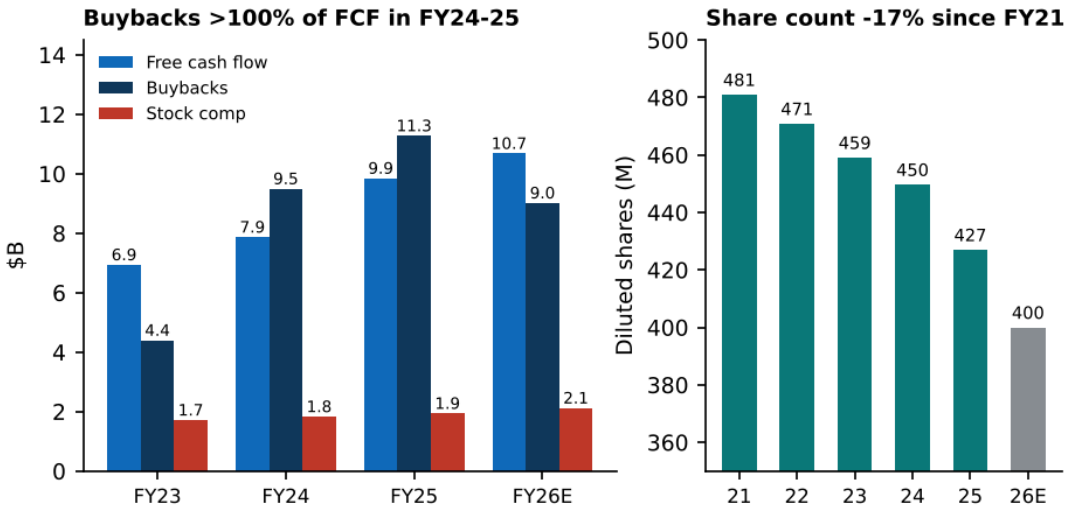
Firefly ARR (above $250M at Q1, +40% sequentially in Q3), Acrobat AI Assistant (MAU doubled sequentially) and Brand Visibility (paid customers doubled sequentially) are real, but the total AI-first ARR is 2.4% of the base. **I assign no acceleration to this driver in the base case**: my 7.5% revenue CAGR is below the ~10% organic rate today, so the base case already assumes the core slows and AI does not fill the gap. Any AI upside is in the bull case only.

Driver 4 — Share shrink (financial, not operating)

Diluted shares have fallen from 481M in FY21 to a guided 400M in FY26, about 3% a year. That is worth ~3 points of annual EPS growth. I carry the same -3% in the base case and treat it as a capital-allocation choice, not as evidence of business momentum.

4. Capital allocation

Item	Detail
Capex	$0.18B in FY25 (0.8% of revenue); FY26E ~$0.26B. Negligible; Adobe is not funding an AI infrastructure build.
Dividend	None.
Buyback	$4.4B (FY23), $9.5B (FY24), $11.3B (FY25), $6.8B in 9M FY26. A new $25B authorization runs through April 2030 with ~$24.6B left per the Q3 call summary. FY26E buybacks of ~$9.0B are ~9.5% of today's market cap.
M&A	Semrush $1.87B cash (closed April 28, 2026; $1.25B of goodwill); Topaz Labs agreed, terms not in the documents I read. Figma was terminated in 2023 with a $1.0B fee paid in FY24.
Balance sheet	Cash and short-term investments $5.64B against $6.36B of debt, so net debt is ~$0.7B. Goodwill is $14.0B, or about 15% of the market cap.
Stock comp	$1.94B in FY25 (8.2% of revenue); $2.12B FY26E (8.0%). About one-fifth of buyback dollars simply offset the shares issued to employees.



Sources: Adobe 10-K and 10-Q cash-flow statements (SEC XBRL). FY26E = nine months actual plus my Q4 estimates (operating cash flow $3.3B, buybacks $2.2B, stock comp $0.54B); shown in grey in the right panel. FCF = operating cash flow less capex.

The honest read: management is telling you it thinks the stock is cheap, and has been acting on it with more than 100% of free cash flow in FY24 (121%) and FY25 (~115%). The execution has been uneven. Q1 FY26 repurchases averaged about $306 a share (8.1M shares for $2.48B); Q3 averaged about $225 (10M shares for $2.25B). The nine-month average of ~$265 is **about 8% above today's price**. Buybacks create value only when the shares are bought below intrinsic value, and the market has spent the year disputing that. Semrush at ~4.0x ARR ($1.87B for $471M of December 2025 ARR, growing 15%) is defensible rather than compelling, and rests on a bet that AI search creates demand for Adobe's optimization tooling.

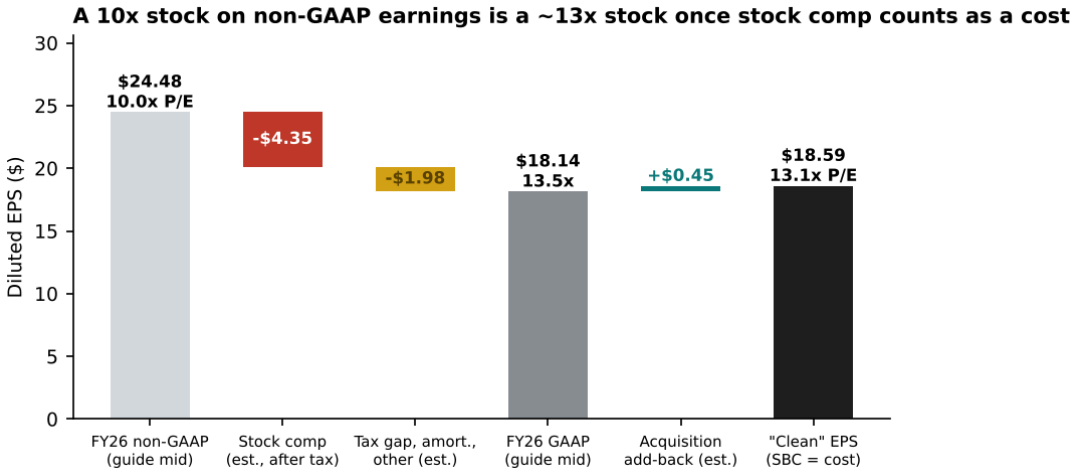
5. Financial deep dive

Five-year record

Fiscal year (ends late Nov)	FY21	FY22	FY23	FY24†	FY25	FY26E
Revenue ($B)	15.8	17.6	19.4	21.5	23.8	26.6
Growth, y/y	—	11.5%	10.2%	10.8%	10.5%	11.9%
GAAP operating income ($B)	5.8	6.1	6.7	6.7	8.7	9.3
GAAP operating margin	36.8%	34.6%	34.3%	31.3%	36.6%	35.0%
ex-Figma fee (FY24 only, est.)	—	—	—	36.0%	—	—
Net income ($B)	4.82	4.76	5.43	5.56	7.13	7.25
Diluted EPS, GAAP ($)	10.02	10.10	11.82	12.36	16.70	18.14
Diluted shares (M)	481	471	459	450	427	400
Free cash flow ($B)	6.9	7.4	6.9	7.9	9.9	10.7
FCF margin	43.6%	42.0%	35.8%	36.6%	41.4%	40.2%
Stock comp, % of revenue	6.8%	8.2%	8.9%	8.5%	8.2%	8.0%
Buybacks ($B)	—	—	4.4	9.5	11.3	9.0

FY21–FY25 CAGRs: revenue +10.8%, GAAP operating income +10.7%, EPS +13.6%, free cash flow +9.4%. FY26E = guidance midpoints for revenue (26.601), GAAP margin (35.0%) and GAAP EPS (18.145); net income, operating cash flow, capex, stock comp and buybacks include my Q4 estimates. †FY24 includes the $1.0B Figma termination fee; ex-fee, FY24 margin is ~36.0% and FY25 operating income grew +12.5%, not +29%.

> **The noise, stripped: a "10x" stock is a ~13.1x stock.** Adobe guides FY26 non-GAAP EPS of $24.475 (stock at 10.0x) and GAAP EPS of $18.145 (13.5x). The $6.33 gap is mostly stock-based compensation: $2.12B, or 8% of revenue, worth about **$4.35 per share after tax** (my estimate at the 18% non-GAAP tax rate on 400M shares), plus ~$1.98 of tax-rate difference, amortization, a $70M goodwill impairment and a $30M loss contingency that Adobe does not itemize in what I read. I count stock comp as a real cost: it is paid in shares that the company then spends ~$2B a year of cash to repurchase. Adding back only the acquisition items (~$0.45, my estimate) gives **"clean" EPS of $18.59 and a 13.1x multiple.** The cheapness is real, but it is a 13x business, not a 10x one.



Sources: Q3 FY26 release guidance midpoints (non-GAAP $24.475, GAAP $18.145). Stock-comp bar = FY26E stock comp ($2.12B: nine months actual plus my Q4 estimate) × (1 − 18%) ÷ 400M shares. The third bar is the residual and the acquisition add-back (~$180M after tax) is an estimate; Adobe does not itemize either in the documents I read.

Other adjustments that mattered

- **EPS growth is partly arithmetic.** FY21–FY25 EPS compounded 13.6% against 10.3% for net income and 10.8% for revenue; the difference is the 11% fall in share count. FY25 EPS growth of +35% reported is ~+18% ex-fee (my estimate for the FY24 base).
- **Margin is moving the wrong way.** GAAP operating margin of 36.6% in FY25 is guided to 35.0% in FY26 and 34.0% in Q4. The drivers are not itemized in the documents I read; Semrush and AI compute are my likely candidates, but that is inference.
- **Disclosure changed.** See the red flag in section 6.

Key metrics — current

Metric	Value	Comment
P/E, FY26E GAAP	13.5x	Robinhood's trailing GAAP P/E is 13.4x; both include stock comp.
P/E, non-GAAP	10.0x	Excludes stock comp; the figure the Street quotes and the one least comparable to cash cost.
FCF yield, FY26E	11.2% / 9.0%	Before / after stock comp. EV is ~$95.9B, so EV/FCF is ~9.0x.
Gross buyback yield	~9.5%	~7.2% net of the ~$2.1B that offsets stock comp.
Total ARR	$27.5B, +11.2%	If Semrush (~$0.47B of ARR at December 2025) is included, organic ARR growth is ~9%. I could not confirm that treatment.
RPO	$22.16B	67% of the amount excluding enterprise committed funds is expected within twelve months.
Net debt	~$0.7B	Effectively nil against ~$10B of annual FCF.
P/B	8.0x	ROE is omitted: with $30B-plus of buybacks since FY23 shrinking equity, book-based ratios say little about a business with almost no tangible capital.

Sources: Adobe Q3 FY26 release and 10-Q; Robinhood fundamentals (October 16, 2026); my calculations. Gross margin and headcount were not available in the documents I read.

Owner earnings and cash-flow quality

Maintenance capex is close to zero, so the quality question for Adobe is not depreciation but stock comp. Counting it in full takes the multiple from ~10x to ~13x on earnings and from ~9x to ~11x on free cash flow per share. I do not add it back.

Treatment of stock comp	EPS / FCF per share	Multiple at $244.50
Company non-GAAP (stock comp fully excluded)	$24.48	10.0x
Stock comp 0% counted (my build, GAAP + all add-backs)	$22.95	10.7x
Stock comp 50% counted	$20.77	11.8x
Stock comp 100% counted ("clean"; my standard)	**$18.59**	**13.1x**
FCF per share, FY26E, before stock comp	$26.71	9.2x
FCF per share, FY26E, after stock comp	$21.41	11.4x

Illustrative only. Stock comp per share is after tax at 18% on 400M shares; FY26E FCF includes my Q4 estimate. The takeaway is the shape: every sensible treatment lands between 10x and 13x earnings and 9x to 11x free cash flow, which is cheap in absolute terms and not a margin-of-safety discount to the 10% hurdle.

6. Key risks and red flags

Risk	Severity	Assessment and what to watch
Generative AI erodes the creative-pro seat and pricing	HIGH	This is the terminal-value risk. Watch organic constant-currency growth: below ~7% for two consecutive quarters ex-Semrush would put me in my bear case. Q4 guide implies ~8%.
Loss of visibility on creative ARR	MED-HIGH	See the red flag below. Underwrite on blended ARR growth and AI-first ARR dollars until Adobe says more.
CEO and CFO transition	MEDIUM	New CEO Dec 1 from the CX side; permanent CFO not named since June. Watch for a CFO appointment and whether the FY27 guide changes the disclosure set.
Margin compression	MEDIUM	GAAP margin 36.6% → 35.0% → 34.0% in Q4. An FY27 guide below ~33% would move me toward the 30% bear margin.
Buyback efficiency	MEDIUM	~$265 average FY26 repurchase price vs $244.50 today. Not a thesis risk, but it caps the benefit of the 3% annual share shrink.
Acquisition integration and goodwill	LOW-MED	$14.0B of goodwill; a $70M impairment was already taken in FY26. Semrush and Topaz are small relative to the franchise.
Regulatory and litigation	UNVERIFIED	I could not read the legal-proceedings or risk-factor sections of the 10-Q (the document was truncated in my reader). A federal subscription-practices complaint was filed in 2024 to my knowledge; I have not confirmed its current status. Verify the docket before sizing.
Near-term revenue collapse	LOW — market overstates	With 97% subscription revenue and $22.2B of RPO (about two-thirds within twelve months), FY27 revenue is largely visible, and the company has beaten EPS for five straight quarters. The stock is priced for something harsher than the 12–24 month numbers show. The debate is the 2029–31 terminal value, not next year.

> **Red flag worth its own paragraph: the metric that would settle the AI debate is no longer reported.**
>
> Through FY25, to my knowledge, Adobe reported Digital Media and Digital Experience segments and a Digital Media ARR figure. Beginning with FY26, the Q1 (March 12) and Q3 (September 10) releases report two customer groups and a single "Total Adobe ARR" ($26.06B at Q1, $27.50B at Q3); neither release gives a Digital Media ARR or net new ARR figure. The change was introduced in the same quarter that the CEO transition and the $25B buyback were announced. I allege nothing about motive, and I did not re-pull the FY25 releases to confirm the prior disclosure.
>
> The practical effect is clear. The pool of customers most exposed to generative AI (creative professionals) is now blended with the pool least exposed (enterprise CX and Acrobat), and the new blended figure may include Semrush. AI-first ARR of $650M+ is a numerator with no denominator. **Stripped of spin: you cannot currently observe the trend that bears and bulls are actually arguing about.** That alone is a reason to hold a smaller position than the P&L would otherwise justify.

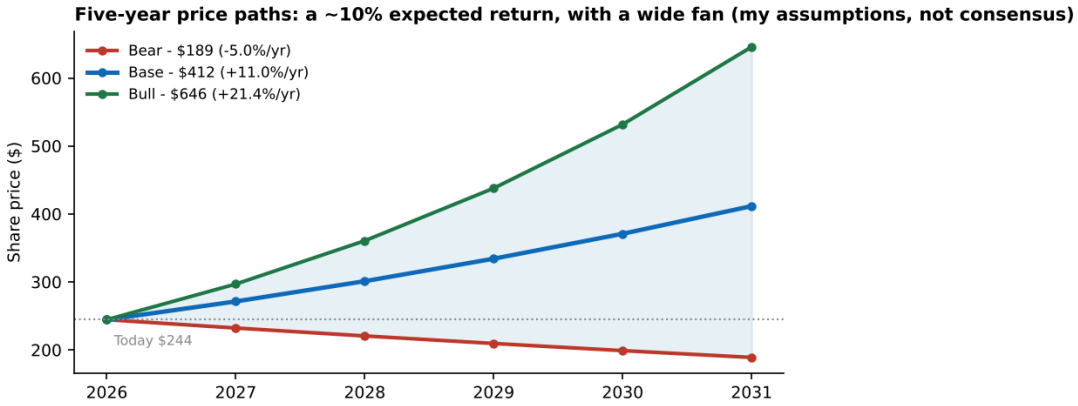
7. Valuation and five-year outlook

The setup. At $244.50, Adobe trades at 13.5x FY26 GAAP earnings, a 11.2% free-cash-flow yield and about 3.5x ARR. It is 33% below its high and 29% above its June 18 low of $190.12. It is cheaper than CRM and INTU on trailing earnings. What you are buying is a high-return franchise with a stable core and a disputed terminal value, with a 9.5% gross buyback yield behind it.

Five-year scenarios (FY2031)

Scenario	Rev CAGR	FY31 rev	GAAP margin	EPS	Shares	Exit P/E	Price	5-yr IRR
Bear — AI commoditizes the creative tier; compute and price pressure; buybacks slow	4.0%	$32.4B	30.0%	$21.00	-1.5%/yr	9x	$189	**-5.0%**
Base — franchise holds, growth fades from ~10% organic to 7.5%; margin flat	7.5%	$38.2B	35.5%	$31.66	-3.0%/yr	13x	$412	**+11.0%**
Bull — AI is additive; organic growth holds; margin returns to FY21/FY25 level; multiple re-rates to 17x	10.0%	$42.8B	37.0%	$37.98	-3.5%/yr	17x	$646	**+21.4%**

Revenue base $26.6B (FY26E, includes Semrush). EPS = revenue × GAAP operating margin × (1−22% tax) ÷ shares, starting at 389M; interest income and acquisition-amortization drift are ignored. No dividend; buybacks are in the share count. Weights 30/50/20 give a probability-weighted price of ~$392 and a 9.9% annual return. **My assumptions, not consensus.**



My assumptions, not consensus. Starting price $244.50. Paths interpolate at constant compound rates between today and FY2031.

What is priced in at $244.50?

Holding margin at 35.5% and the share count shrinking 3% a year, a 10% annual return needs **~6.6% revenue growth if the stock still trades at 13x in 2031, or a 12.4x exit multiple if revenue grows 7.5%.** If the multiple falls to the bear 9x, revenue growth would have to be ~14.7% to earn the hurdle. For break-even (0% return), revenue can shrink ~3% a year if the exit is 13x, but it must grow ~4.3% a year if the exit is 9x, so the multiple matters at least as much as growth. In plain terms: the market is pricing Adobe to grow at roughly the pace of the base case with no re-rating, which is a fair, not a distressed, expectation.

5-yr IRR: revenue CAGR ↓ / exit P/E →	9x	11x	13x	15x	17x
2.0%	**-2.2%**	+1.8%	+5.3%	+8.4%	**+11.1%**
4.0%	**-0.3%**	+3.8%	+7.4%	**+10.5%**	**+13.3%**
6.0%	+1.7%	+5.8%	+9.4%	**+12.6%**	**+15.5%**
7.5%	+3.1%	+7.3%	**+11.0%**	**+14.2%**	**+17.1%**
9.0%	+4.5%	+8.8%	**+12.5%**	**+15.8%**	**+18.7%**
11.0%	+6.5%	**+10.8%**	**+14.6%**	**+17.9%**	**+20.9%**

Sensitivity at 35.5% GAAP margin and -3%/yr shares. Green = at or above the 10% hurdle; red = negative. The shape matters more than the decimals: the multiple is worth as much as five points of growth.

The case, argued fairly

Bull case (what has to be true)	Bear case (what the market is worried about)
Subscription seats and prices hold because the workflow, formats and enterprise integrations are hard to replicate. AI-first ARR compounds from $0.65B toward $2B+ and offsets any seat softness. Organic growth stays near 10%, margin returns to 36–37%, and the buyback keeps cutting 3–3.5% a year. At 17x on $38 of EPS the stock is worth ~$646.	The creative workflow moves into prompts inside other companies' apps. Seat counts and prices come under pressure at the prosumer and SMB tier first, AI compute costs compress margin, and Adobe's response (a blended ARR metric and tuck-in M&A) looks like defence. Growth falls to 4%, margin to 30%, and the multiple to 9x, which is ~$189 and a -5.0% annual return.

Fit with your portfolio's growth objective

> ADBE is a 35-share, ~$8.6K position (~0.50% of the portfolio, ~$8,156 cost, ~+5% as of today), built up from 16 shares in the October 6 export to 35 over ten days. It is not one of the five core forever holds, and the thesis it was bought on did not exist until this report. On your own screen of quality at a reasonable price and long-term compounding, ADBE passes quality (40% FCF margin, no net debt) and passes price, but fails the third test of a durable, unchallenged compounder, because the terminal value is the live debate. With a high risk profile and a 10-year horizon you can tolerate the dispersion in the scenario fan; the problem is that the expected value is at the hurdle, not above it.
>
> **Overlap.** Application software already sits at ~4.9% of the portfolio (MSFT ~3.1%, CRM ~1.4%, ADBE ~0.5%) and all three turn on the same question of whether AI agents expand or compress seat-based software economics. ADBE adds to that bet more than it diversifies. There is no dividend, so tax location is not a factor. I have not re-run the other names in the October 8 capital-allocation ranking on these assumptions; compare ADBE's 9.9% expected return against that ranking rather than treating this report as a standalone rank.

The three things to actually watch

1. **Organic growth and the FY27 guide (Dec 9).** Q4 guide implies ~8% organic. A FY27 revenue guide that implies organic growth below ~7%, or margin guided below ~33%, moves me from the base to the bear case. A guide above ~9% organic with stable margin supports the bull weights.
2. **AI-first ARR in dollars, and whether creative ARR comes back.** At $650M+ (2.4% of ARR) the question is whether it adds enough to offset any seat softening: I want to see it above ~$1.0B by mid-FY27, and I want Adobe to resume a creative or Digital Media ARR disclosure, which would remove the red flag.
3. **Leadership and capital discipline.** Chakravarthy takes over December 1; a permanent CFO has not been named since June. Watch the pace and price of buybacks (does Adobe slow when the stock is above intrinsic value?) and whether the new team keeps GAAP margin at or above 35%.

Other dated items: Adobe MAX in November; Topaz Labs expected to close in Q4; Q1 FY27 results on or about March 11, 2027 (date tentative).

Bottom line

Adobe is a very good business at a fair price, not a very good business at a bargain price, and the difference is the AI question that the company has made harder to observe. **My view is hold the starter, do not add at $244.50, and let price or evidence decide the next step.** I would be more constructive at ~$222 (a 12% expected return on my weights, ~$195 for 15%), or at any price if two of the three watch items resolve favourably: organic growth holds near 10% through the CEO handoff, AI-first ARR scales past $1B, and a creative ARR figure is disclosed.

The reasoning is exposed so you can disagree with a step: the 13x clean multiple (stock comp counted), the ~8% organic Q4 run rate (Semrush stripped), the 7.5% base growth (below today's 10%, with no AI acceleration), and the 30/50/20 weights.

Move the weights to 25/40/35 and the expected return rises to 12.4%; cut the base-case exit multiple to 11x and the base IRR falls to +7.3%. This is a position to size to what you can hold through a bad outcome, not what the base case implies.

Sources & disclosures. *Primary:* Adobe Q3 FY26 earnings release, Form 8-K Ex. 99.1 (Sept 10, 2026); Form 10-Q for the quarter ended Aug 28, 2026 (SEC); Q1 FY26 release (Mar 12, 2026); FY24 Form 10-K (SEC); FY21–FY25 financials via SEC XBRL (Robinhood); Semrush Q4 and FY2025 results (press release as reproduced by Barchart). *Secondary:* MarketBeat auto-generated Q3 call summary (Sept 10); TIKR (May 19, 2026); 24/7 Wall St. (Sept 11); Stocktwits (Sept 11); Q1 FY24 call summary (Substack). *Market data:* Robinhood quotes, fundamentals and analyst ratings (prices Oct 16, 2026 ~2:03 pm ET; ratings Oct 3).

Known uncertainties, stated plainly:

1. **Q4 FY26 and the full-year FY26E** are guidance midpoints plus my estimates (operating cash flow $3.3B, capex, stock comp $0.54B, buybacks $2.2B, net income from guided EPS × ~389M shares).
2. **Semrush's contribution** (~$120–125M a quarter) is my estimate from Semrush's last public results; Adobe says the effect is not material and does not disclose it, so every "organic" figure here is derived. I could not confirm whether Total ARR includes Semrush.
3. **The $1.0B Figma fee** is confirmed only through a secondary call summary; I did not find it in the XBRL facts I pulled, and the call summary gives no GAAP operating-income impact. The ~20% tax effect and the ex-fee FY24 EPS (~$14.14) are my estimates.
4. **Stock comp per share** uses the 18% non-GAAP tax rate; the ~$1.98 residual and the ~$0.45 acquisition add-back are my estimates because Adobe does not itemize them in the documents I read.
5. **Call-based figures** (AI-first ARR above $650M, Firefly and Acrobat AI metrics, $24.55B remaining authorization, Q4 midpoint raise) come from an auto-generated call summary, not a transcript. The CEO timeline combines Adobe's Q1 release (primary) with press accounts for the successor and CFO departure, and the 24/7 Wall St. description of the successor's unit is that outlet's characterization. The Q3 buyback appears as 9.5M shares/$2.23B in the release and 10M/$2.25B in the 10-Q; I used the 10-Q for the average price.
6. **I could not read** the MD&A, legal proceedings or risk factors of the 10-Q (the filing was truncated in my reader), so I cannot confirm regulatory or litigation status. Gross margin and headcount were not available. The prior-year Digital Media ARR disclosure is from my knowledge, not re-pulled.
7. **Peer multiples** are trailing GAAP as provided by Robinhood, with differing fiscal years; analyst ratings are an October 3 snapshot; CRM, INTU and NOW prices are derived from market cap and shares.
8. **What will be stale soon:** price and multiples (intraday October 16); everything before the December 9 Q4 print and FY27 guide.

This is educational research and analysis, not investment advice. I am not a licensed financial advisor or tax advisor, and nothing here is a recommendation to buy or sell any security. The scenario models reflect my assumptions, which will be wrong in ways I cannot anticipate. Position sizing, tax consequences, and how this fits alongside existing concentration should be decided by you, ideally with a fiduciary who can see your whole balance sheet.